Syllabus Edition
First teaching 2025
First exams 2027

Not your syllabus?

Production processes: Inventory

Exam code: 0450, 0986 & 0264, 0774

Download PDF

Written by: Lisa Eades
Reviewed by: Steve Vorster
Updated on 28 August 2025

Why do businesses hold inventory?

- Businesses hold inventories to support smooth operations and avoid disruptions

Main types of inventories

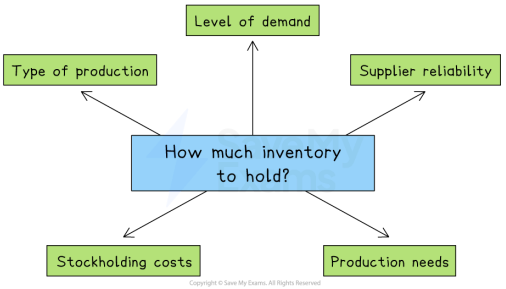
Raw materials	Components
• The basic natural or unprocessed items used to make a product, like wood, metal or oil	• Individual parts or pieces that are put together to make a finished product
Work-in-progress	**Finished goods**
• Partially completed goods between stages of production	• Items ready to be sold to meet customer demand promptly

- Reasons for holding inventories include:
  - To **prevent stockouts** and lost sales
  - To take advantage of bulk purchasing discounts
  - To **buffer against supply chain delays**
  - To ensure **continuous production** even when delivery of materials is uncertain
- However, holding too much inventory can increase **storage costs** and **risk of damage or** obsolescence, which is why inventory levels must be carefully managed

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

much inventory a business holds

- Choosing the right level of inventory is important to avoid waste, reduce costs and ensure smooth operations



The amount of inventory held will depend on factors such as the type of product, the level of demand and production needs

1. **Type of product**
   - Perishable goods like fresh food must be kept in smaller amounts to avoid spoilage
   - Durable goods such as electronics can be stored for longer
2. **Nature of demand**
   - Businesses with fast-selling products need more inventory to avoid running out, especially during busy periods
     - For example, a toy shop holds extra stock of popular toys before Christmas
   - On the other hand, low-selling items need less stock to prevent wastage
3. **Supplier reliability**
   - If suppliers are unreliable or located far away, businesses may keep more stock as a backup in case of delays or poor-quality deliveries
     - For example, a car manufacturer may keep extra spare parts if overseas suppliers take weeks to deliver
4. **Cost of holding inventory**
   - High storage costs may encourage businesses to reduce the amount of inventory they keep
   - If warehousing is cheap or in-house, businesses might hold more stock
5. **Production needs**
   - Manufacturers need enough raw materials or components to avoid stopping production
   - If production is continuous, a steady supply of inputs is essential
     - For example, a bread factory must always have enough flour to avoid delays on the production line

Examiner Tips and Tricks

Don't assume holding more inventory is always a good thing– examiners expect you to weigh the **advantages of meeting demand** against the **costs of storage and risk of waste**

Teacher only

New! Exclusive Teacher-Only Questions

- Fresh, expert-written questions
- Students can't access them
- Fair accurate tests - built fast

Explore in Test Builder

Test yourself Flashcards

Was this revision note helpful? Yes No

Previous Next

Course Study tools All topics

Resources

Learning Hub
Scholarship
Join
Past Papers
Solution Banks
Sitemap

Dashboard

Overview
Brand ambassador
Profile
Subscription
Settings
Log out

Company

About us

Subjects

Biology

Promotions
Jobs
Terms
Privacy
Cookie Policy
Help and Support
Maths
Geography
English Literature
Psychology
All Subjects

© Copyright 2015–2026 Save My Exams Ltd. All Rights Reserved.
Neither IBO nor College Board were involved in the production of, and do not endorse, the resources created by Save My Exams.